

Response to the Editor

Dear Editor,

We thank you for the opportunity to further clarify the manuscript. In response to the remaining referee comments, we have added targeted clarifications to better articulate the scope of the model, the interpretation of the historical decomposition, and the nature of our contribution relative to the existing literature.

In particular, we now emphasize more clearly that our analysis addresses a conditional policy question—how commodity revenue realizations affect the performance of a fixed, pre-announced fiscal consolidation plan—rather than providing an unconditional explanation of Ecuador’s business cycle or an optimal policy design exercise. We also clarify the interpretation of the productivity block in the historical decomposition and make more explicit the role of dollarization in shaping the relevant external-adjustment margins in the model.

These adjustments are intended to improve clarity while preserving the paper’s core framework and contributions, which were viewed favorably by the other four referees. We hope the revised presentation assists in your final assessment.

Sincerely,

Manuel González-Astudillo, Juan Guerra-Salas, Avi Lipton